Chapter 4 AUDIT PLANNING

RP5ZVN

Learning Objectives

- To understand the meaning, benefits and factors affecting audit planning.
- To understand the meaning, features, objectives, contents, advantages and disadvantages of audit programme.
- To understand the meaning, advantages and disadvantages of auditing in-depth.
- To understand the meaning, applicability, factors to be considered, advantages and disadvantages of test checking.
- To understand the auditor's duty regarding test checking.

TO BE RECALLED

RECAP

In the previous lesson, we have studied meaning and advantages of audit of the accounts of the Sole Proprietor, Firm, Joint Stock Company and Trust.

4.1 Audit Planning

4.1.1 Introduction

An audit is a professional service to a client. The review of accounting, financial and other operations form a basis of such service. Before commencing audit, an auditor must prepare himself well. Preparation for an audit relates to audit planning, preliminary preparations by the auditor, audit programme, audit note book, audit working papers, audit evidence, commencement of a new audit, test checking, and routine checking.

4.1.2 Meaning of Audit Planning

Planning is required to complete the audit effectively within the specified time. Audit planning is a process of deciding in advance what is to be done, who is to do it, how it is to be done and when it is to be done by the auditor in order to have efficient and effective completion of work.

Audit planning can be done only when, the auditor is having knowledge of the business of the client. It helps in accomplishment of objectives of audit and enables the auditor

XI_Auditing_Chapter_4.indd 46 20-02-2019 10:19:27